

Multiple Choice (10 marks)

1. Which of the following is a characteristic of monopolistic competition in the long run?
 - (a) Excess profits due to lack of competition.
 - (b) Firms produce identical products.
 - (c) High degree of interdependence among firms.
 - (d) Zero economic profits.
 - (e) Large number of buyers and one seller.
2. How can business expectations affect the economy?
 - (a) Business expectations can affect the economy by affecting the level of investment.
 - (b) Business expectations mold the economy through fluctuations in commodity prices.
 - (c) Business expectations have no impact on the economy.
 - (d) Business expectations steer the economy by directly setting interest rates.
 - (e) Business expectations influence the economy through government policy changes.
3. Which of the following is most likely to result in a shift to the right in the demand curve for orange juice?
 - (a) A decrease in the price of orange juice
 - (b) A decrease in the price of Tang
 - (c) An increase in the price of grapefruit juice
 - (d) A decrease in the income of juice drinkers
 - (e) A bumper crop of oranges in Florida
4. The aggregate demand curve has a negative slope in part because when the price level increases
 - (a) the real quantity of money increases
 - (b) imports become relatively more expensive
 - (c) the value of cash increases
 - (d) exports become relatively cheaper
 - (e) inflation rate decreases
5. According to Marshall and Fisher, what are the components of the demand for money?
 - (a) Investment and Consumption
 - (b) Transactions Demand and Asset Demand

- (c) Income and Expenditure
- (d) Savings and Interest Rates
- (e) Credit and Debit

True / False (10 marks)

Answer True or False

6. True or False: A price ceiling, when effective, always leads to a surplus of the good in the market.
7. True or False: The rise in the price of polyester pants will decrease demand for denim jeans, lowering the price and quantity in the market.
8. True or False: Investment demand tends to increase when inflation rates rise, as firms anticipate higher future prices for their products.
9. True or False: Structural unemployment occurs when workers are displaced due to technological advancements, such as the introduction of self-serve checkouts.
10. True or False: The circular flow model of pure capitalism includes all forms of consumer transactions, including those between consumers.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss how anticipated inflation benefits specific institutions and individuals, including the mechanisms through which these gains are realized and the broader economic implications.
12. Discuss the differences between logit and probit models in terms of their methods for transforming probabilities, and analyze the implications of these differences in economic applications.

End of Paper